



# SOUTH KOREA

**India is delightfully looking forward to the visit of South Korean President Lee Myung-bak as the chief guest for the January 26, Republic Day's celebrations. The visit is expected to scale up the economic ties between two fastest growing economies of the world.**

**T**he deal signed between two of Asia's top five economies, India and South Korea, is expected to double the value of bilateral trade.

In an era of globalisation and liberalisation, world trade has always been an important topic for discussion. A trade pact between India and South Korea was forged with the conclusion of the 12<sup>th</sup> round of negotiations, which began in March 2006, of the South Korea-India Comprehensive Economic Partnership Agreement (CEPA), in Seoul, South Korea. The pact paves a fresh path for bringing the two countries together.

Over the centuries, India-South Korea relations have been relatively limited, however, things have changed swiftly for good during the last three decades. Today, the two countries enjoy cordial political, economic and most importantly great trade relations. In the recent circuit, India has been characterised as the 12<sup>th</sup> largest economy in the world with South Korea grabbing the 13<sup>th</sup> position.

The CEPA has provisions for substantial cuts in both tariff and non-tariff barriers. South Korea has reduced or eliminated tariff lines on 93 per cent of its industrial and agricultural products and India will do the same on 85 per cent of its goods. These will be implemented in a phased manner in the next eight years.

It will make Korean consumer products and auto-parts cheaper in India. Similarly, Indian exports, particularly in drugs, food and cosmetics, will find it easier to enter the Korean markets.

The CEPA is expected to be a catalyst to accelerate the bilateral trade of goods and services along with investments among both countries — India and South Korea.

India's rapid economic growth has finally caught the attention of South Korean corporates and investors. During the last few years the commodity composition of Indian exports, though still dependent on low value-added items, has expanded to cover a wider range of industrial products.

Samsung, Hyundai, LG and POSCO (the steel major) are some of the South Korean global corporate giants which have set up manufacturing facilities in India and are presently in the process of making fresh investments to expand their operations.

## TECHNOLOGICAL ADVANCES

When it comes to technology, South Korea is unbeatable. Enterprises like Samsung and LG are the second and third largest cellphone companies in the world while Posco is the fourth largest steel giant in the world today. It is said that South Koreans are among the first ones to explore innovative technologies and techniques.

## CULTURAL PATTERNS

South Koreans have a strong national identity. Only one language is spoken by more than 65 million people, which plays a major role in defining their stable cultural conformity. They give high consideration to family values, at the same time they are very modern in their outlook and are yet very closely bound to their traditions.

